

August 5, 2026 04:10 PM GMT

Nuvoton Technology Corporation | Asia Pacific

2Q turned loss-making again;
UW

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↓ Modest shortfall Financial results versus consensus	↓ Modest revision lower Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- Management expects to see significant financial improvements from the Japanese business in 2027.
- It sees strong demand for 8-inch fab, supporting confidence for Japan's upcoming operational improvements.
- BMC revenue growth next year is expected to be higher than this year, mainly driven by CSP customers.
- Remain UW: we are positive on the development of BMC products but remain concerned about overall consumer tech and non-AI demand in 2026.
- Pressure from memory and foundry OSAT costs continues.

2Q details:

- Revenue was NT\$7.9bn, -1% Q/Q, +2% Y/Y, 5% below our estimate. The Q/Q decline was from a supply chain issue rather than demand, according to management.
- GP was NT\$3.0bn, GM was 38.0%, -1.3ppt Q/Q, +3.1ppt Y/Y, 1.8ppt above our estimate. The Q/Q decline from a high base last quarter is attributable to inventory reversals.
- OPM was -4.2%, -2.8ppt Q/Q, -2.4ppt Y/Y, owing to increase in employee compensation and R&D expenses in preparation for strong AI demand in 2027.
- Net loss was NT\$249mn, turning negative vs. 1Q and worse than we expected.

Business update:

- AI & computing segment revenue declined to 31% of the mix in 2Q, vs. 35% in 1Q, mainly owing to weaker PC demand from memory price hike.
- Communication segment revenue rose to 20% of the mix in 2Q vs. 15% in 1Q, reflecting a high-end model launched by a major customer.

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Nuvoton Technology Corporation (4919.TW, 4919 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Underweight			
Industry View	Attractive			
Price target	NT\$95.00			
Up/downside to price target (%)	(27)			
Shr price, close (Aug 5, 2026)	NT\$130.00			
52-Week Range	NT\$230.00-49.80			
Sh out, dil, curr (mn)	401			
Mkt cap, curr (mn)	NT\$52,108			
EV, curr (mn)	NT\$50,514			
Avg daily trading value (mn)	NT\$976			

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	(3.96)	(1.17)	4.15	7.64
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	(2.81)	(0.25)	3.19	7.89
Revenue, net (NT\$ mn)	30,492	31,059	34,719	38,053
EBITDA (NT\$ mn)	539	(834)	1,262	3,271
ModelWare net inc (NT \$ mn)	(1,665)	(491)	1,744	3,207

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P/E	NM	NM	31.3	17.0
P/BV	1.6	4.3	3.8	3.1
RNOA (%)	(8.0)	(6.7)	6.2	(4.1)
ROE (%)	(10.6)	(3.7)	13.8	22.3
EV/EBITDA	36.8	NM	42.5	15.5
Div yld (%)	0.8	0.0	0.0	0.0
FCF yld ratio (%)**	(7.9)	(3.1)	(3.4)	4.7
Leverage (EOP) (%)	(12.2)	1.1	10.7	(8.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Nuvoton Technology Corporation (4919.TW)

Base case, residual income model. We assume a 9.2% cost of equity (beta 1.2, risk-free rate 2.0% and risk premium 6.0%), a payout ratio of 55%, a medium-term growth rate of 7.0%, and a terminal growth rate of 3.5%.

Risks to Upside

- MCU up-cycle is more sustained than expected.
- China's MCU localization is faster than expected.
- Traction from auto and BMC business is greater.
- Margin improvement is more significant.

Risks to Downside

- MCU up-cycle ends earlier with severe pricing erosion.
- China's MCU localization is slower than expected.
- Traction from auto and BMC business is less.
- Margins contract amid more intensified competition.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Nuvoton Technology Corporation (4919.TW) - As of 08/05/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : O/I; 10/12/21 : O/C; 10/4/22 : O/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 8/2/24 : U/I; 10/29/24 : O/I; 7/14/25 : O/A; 8/6/25 : E/A; 11/10/25 : U/A

Price Target History: 7/19/21 : 155; 8/6/21 : 200; 1/17/22 : 212; 5/6/22 : 242; 7/12/22 : 168; 5/15/23 : 143; 8/14/23 : 152; 2/7/24 : 148; 8/2/24 : 81; 10/29/24 : 115; 5/7/25 : 85; 8/6/25 : 60; 11/10/25 : 48; 4/17/26 : 98

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/05/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$82.51
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb358.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$124.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,610.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$593.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,136.90
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,390.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$447.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$141.50
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$484.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$247.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb72.87
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,000.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb726.03
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$445.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb734.20
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb90.83
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,845.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb104.02
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.00
SMIC (0981.HK)	O (10/21/2025)	HK\$68.00
TSMC (2330.TW)	O (02/07/2022)	NT\$2,405.00
UMC (2303.TW)	O (05/19/2026)	NT\$122.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$157.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$376.00

Daisy Dai, CFA

ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$165.60
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb58.15
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb92.85
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb30.62
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb288.85
Innoscence (2577.HK)	E (10/13/2025)	HK\$43.90
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb68.97
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb93.52
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.33
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb67.20
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb25.96
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb91.01
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$855.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,415.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,020.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$99.40
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$160.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb110.69
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.44
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$117.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$270.40
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb212.00
Novatek (3034.TW)	U (02/04/2026)	NT\$550.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$130.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$618.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$66.10
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$751.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb53.27
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$169.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$129.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$225.00
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb109.92
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb364.92
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,070.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$600.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$14.18
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,530.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,245.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$268.49
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,885.00

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* Historical prices are not split adjusted.